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120 pages



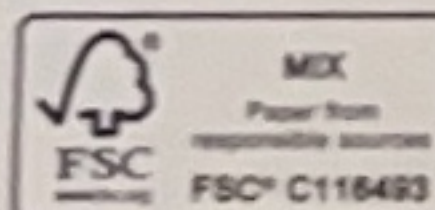
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notebook



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Accounting Reports and Analysis



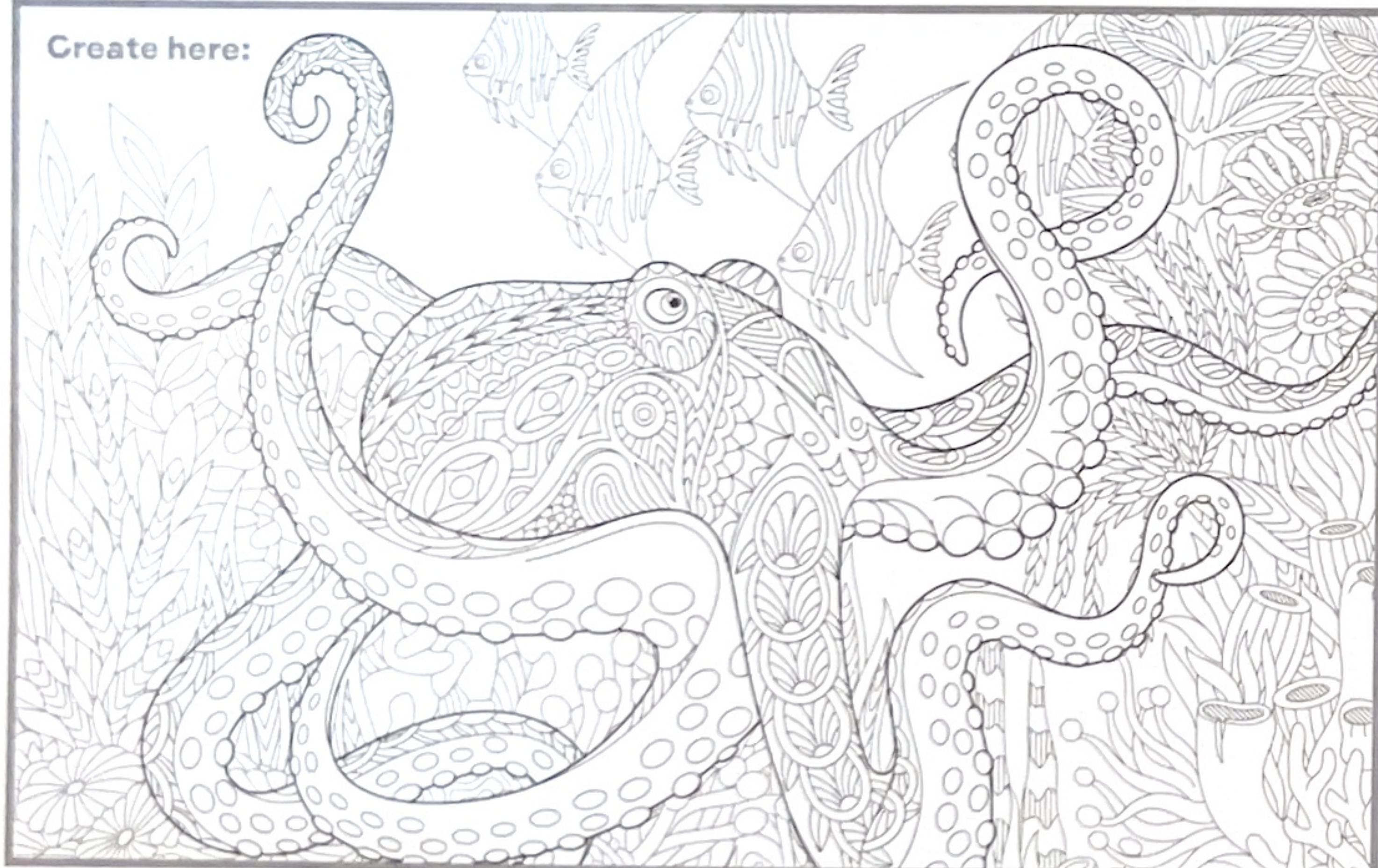
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N Y P E O A L X E D B W  
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## Profitability Ratios

### Return on Equity (ROE)

$$\frac{\text{Profit available to ordinary shareholders}}{\text{Average ordinary shareholders' equity}}$$

$$\text{Average equity} = \frac{(\text{equity at end} + \text{equity at start})}{2}$$

↓  
(comprises any capital invested, retained earnings and reserves)

### Return on Assets (ROA)

$$\frac{\text{Earnings before interest \& tax}}{\text{Average Total assets}}$$

### Gross Profit Margin (GPM)

$$\frac{\text{Gross Profit}}{\text{Sales revenue}}$$

### EBIT Profit Margin

$$\frac{\text{Earnings before interest \& tax}}{\text{Sales revenue}}$$



Expense Ratios

$$\frac{\text{Selling \& Marketing expenses}}{\text{Sales revenue}}$$

Cash Flow to Sales Ratio

$$\frac{\text{Net cash flows from Operating activities}}{\text{Sales revenue}}$$

Efficiency RatiosAsset Turnover (ATO)

$$\frac{\text{Sales revenue}}{\text{Average total assets}} = n \text{ times p.a.}$$

$$* \text{ average total assets} = \frac{(\text{previous total assets} + \text{current total assets})}{2}$$

Inventory Turnover / Days Inventory

$$\frac{\text{Average Inventory}}{\text{Cost of Sales}} \times 365 = n \text{ days}$$

Days Sales Outstanding / Days debtors [ARTO]

$$\frac{\text{Average ~~Trade~~ Accounts receivable}}{\text{Sales revenue}} \times 365$$

Days Purchases Outstanding / Days creditor [APTO]

$$\frac{\text{Average Accounts Payable}}{(\text{Cost of sales} + \text{net increase in inventory})} \times 365$$



## Liquidity Ratios

### Current Ratio / Working Capital Ratio

$$\frac{\text{Current assets}}{\text{Current liabilities}} = n:1 \text{ or } n\%$$

### Quick Ratio / Acid-Test Ratio

$$\frac{\text{Current assets} - \text{prepaid expenses} - \text{inventory}}{\text{Current liabilities} - \text{overdrafts}} = \frac{\text{cash} + \text{receivable}}{\text{overdrafts}}$$

### Cash Flow Ratio

$$\frac{\text{Net cash flows from Operating activities}}{\text{Current liabilities}}$$

## Capital Structure Ratios [Gearing]

### Debt Ratio

$$\frac{\text{Total liabilities}}{\text{Total assets}}$$

### Interest Coverage Ratio (Times Interest Earned)

$$\frac{\text{EBIT}}{\text{Net Finance Costs}} = n \text{ times}$$

$$* \text{ Net Finance Costs} = \text{interest expense} - \text{interest revenue}$$

### Debt coverage ratio

$$\frac{\text{Non-current liabilities}}{\text{Net cash flows from operating activities}} = n \text{ times}$$



## Market Performance Ratios

- Net tangible asset backing per share (NTAB)

$$\frac{\text{Total assets} - \text{total liabilities} - \text{Intangible assets}}{\text{Weighted average number of ordinary shares on issue}}$$

$$= \pi \text{ cents per share}$$

- Earnings per share (EPS)

Profit available to ordinary shareholders

Weighted average number of ordinary shares on issue

$$= \pi \text{ cents per share}$$

$$= \frac{\begin{matrix} \downarrow \text{previous} \\ \text{number of share} \\ + \\ \text{current} \\ \text{number of share} \end{matrix}}{2}$$

- Dividend payout Ratio

$\frac{\text{Dividends}}{\text{Profit}}$

OR

$\frac{\text{Dividends per share}}{\text{Earnings per share}}$

- Price Earnings Ratio (PER)

$\frac{\text{Current market price}}{\text{Earnings per share}}$

$$= \pi \text{ times}$$

Dividends per share

$$\frac{\text{dividend paid}}{\text{Average number of ordinary shares on issue}}$$



## ACCT10001 Practice EXAM 1

Reading time: 3 min

Writing time: 一小时 = 十分钟

总分 74/100

(5/8)

Q1. Gross Profit 下是

Other revenue [rent revenue + Interest + Dividend revenue] \$9

Selling expense 要减掉 advertising benefit 还未收到的部分 \$5

Employee cost 应加上 wage owing \$1

Net profit 43 +

⇒ 两行错了 其他 consequential!

⇒ 格式 Statement of Profit OR LOSS

Sales revenue 10

Cost of sales (2)

Gross Profit 8

Other revenue 1

Expense 1 (2)

Expense 2 (3)

Expense 3 (3)

Profit before tax 2

Income tax expense (1)

Net Profit 1



Q2.

(4/12)

- Current asset 1's prepaid advertising \$5
- 说法不一致: Cash and cash equivalents  
Trade ~~and~~ & other payables/Receivables  
Other current assets  
其实就是 prepaid advertising

- Borrowing 除13 就是一年的了, 不应乘12.

- 说法不一致: Other current liabilities  
可包括 Accrued wages \$1 和 unearned ~~and~~ revenue \$3

• Equity 格式

|                           | \$ |
|---------------------------|----|
| Contributed equity        | 30 |
| Reserves                  | 3  |
| Retained profits earnings | 59 |
| Total equity              | 92 |

opening \$45 + Profit \$52  
- Dividends \$38

(8/12)

Q3.

- Cash sales 和 Receipts from AR 和 Receipt from tenant  
可结合:

Receipts from customer.

- Payments to employee 和 Payments to AP  
可结合:

Payments to suppliers and employees

- Dividends received  
Interest received

Interest paid

Tax paid

得分开写 因为他们甚至可以归属  
到其他 Activities 里

-2分

- Proceeds from investment 不是 loan receipt !!  
应放 Investing T.

-1分

- 最底下的 format.

Net change in cash (309)

Cash and cash equivalents at start 105

Cash and cash equivalents at end (204)

- Cash in short-term liquid deposits 也是 opening balance 的一部分!!

-1分



其他选择题 (57.01/67)

- ① Goodwill. Goodwill can only be identified with the business as a whole
- ② High receivables turnover ratio  $\Rightarrow$  Customer make repayments quicker  
还不是 ARTO
- ③ General purpose financial statements  
 $\hookrightarrow$  potentially valuable to a number of users.
- ④ Declaration of cash ~~and~~ dividends 意思就是 dividends paid out.
- ⑤ Management Accounting report 没有受到 governing 管制  
 $\Rightarrow$  to provide up-to-date info to manager
- ⑥ Limited liabilities for a company applies to shareholders not the board of directors.
- ⑦ Statement of cash flow 不帮助我们 assess company's ability to operate efficiently.

ACCT 10001 Practice EXAM 2 Reading time: 5分钟

Writing time: -1时21分钟

总分: 82%

选择题 61/67 = 91% 打遍天下无敌手

Q4  
lower of cost and net realisable value basis of valuing inventories is an example of conservatism

Q18  
应对 break-even point too high  
不应当 consider reducing price

Q51  
看清楚问的是 incorrect 还是 correct

Q65  
production volume 生产量上涨,  $\frac{\text{fix}}{\text{volume}}$  decrease  
 $\Rightarrow$  average total cost per unit decrease.

Q67  
关于 goodwill, 以下是不对的 statement:  
'goodwill represents the value of assets such as trademarks, brand names, patents, licences'

Q68  
关于 Reserves, 以下是不对的 statement:  
'Reserves reflect amounts of cash available for special purposes'



Q1 Statement of Profit or Loss 6/9

★ Other income 应放在 other revenue 下

Other revenue 609  
Other income 127

★ bad debts 是 expense, ~~double~~ doubtful debt 不是  
不应被加在 statement of profit or loss 里

★ 没有 "additional" 和 "did not include" 这种字眼  
注意别把 'income tax owing' 加到 'income tax expense' 上

Q2. Statement of Financial position 4/12

Current asset 顺序

Cash  
Trade & other receivables  
Inventories  
Other current assets. -1分

Non-current asset 顺序

1. PPE 应用 gross amount - accumulated depreciation  
不是 net

2. Intangibles 应用 intangible asset to goodwill 减 amortisation

3. Investments -2分

→ One billion 是十亿 不是 - 亿 . . . .

Current liabilities 顺序

Trade & other payables (不加 tax payable)

Current tax payable 要分开写!

Borrowings

Provisions (1 billion 是 + 亿)

-3分

Non-current liabilities 顺序

Borrowings

Provisions -1分

Equity 顺序

① Contributed equity

② Reserves

③ Retained ~~profits~~ earnings consequential

Total equity -1分

\* other income 应在  
profit 里而不是被单独  
report.



## Statement of cash flows.

→ Operating 顺序

11/12.

先写两个  
最重要 (Receipts from customers ~  
Payments to suppliers & employees (~)  
Dividends received ~)

-1分

全对 ✓  
除了顺序

## ACCT 10001 Practice EXAM 3

Reading time: 5' 分钟

writing time: 一小时五' 分钟

总分: 92%

选择题 ~~63/67~~ 63/67

① Long-term solvency ratio: Debt to ~~equity~~ equity ratio  
偿付能力

② fixed costs per unit of output  
⇒ they declined as the level of output increases

③ Definitely increase profit next period: increase useful life  
不是 stop capitalising development expenditure.

④ ROE [return on equity] has changed  
⇒ Require an examination of return on asset  
and financial risk.



## 四道大题 29/33

★ Statement of comprehensive income 全对! 8/8

★ Statement of changes in equity.

|                            | Contributed equity | Reserves | Retained Earnings |
|----------------------------|--------------------|----------|-------------------|
| Balance at start           |                    |          | 23947             |
| Share issues               |                    |          |                   |
| Profit / (loss)            |                    |          | 3752              |
| Other comprehensive income |                    |          |                   |
| Dividends                  |                    |          | (3421)            |
| Balance at end             |                    |          | 24278             |

dividend是负数  
要用括号包起来

-1分

这道总分2/3

★ Statement of Financial ~~State~~ Position 总分9/11

· 计算 error Net asset -1分

· equity 旗下写成 retained profit 了 -1分

应是 Retained earnings

★ Statement of Cash Flow statement 总分10/11

Investing activities 的词汇和顺序 (先写 payment 再写 Proceeds)

Payments to acquire property, plant and equipment (100)

Payments to acquire intangible assets (50)

Proceeds from sale of investments 10

Proceeds from sale of property, plant and equipment 20

-1分

Financing activities 词汇

Payments of loan principal



## Tutorial Preparation quiz

Quiz 1: ~~interested~~ interested in sustainability report  
customer special interest group. ✓✓

Partnership will dissolve if a partner dies or retires.

'Income tax expense' would not appear in a partnership's income statement

Quiz 2: A 'consolidated entity' is a parent entity and its subsidiaries.

The dollar value of items on the Balance Sheet is NOT referred to as 'cost price'

Quiz 5: Accounting profit measures  
the ~~at~~ excess of income over expenses for the period ✓✓  
~~'the increase in the value of entity' x~~

Quiz 6: 以下都是 investing activities  
① Payments for business  
② Proceeds from repayment of related party loans.

## Quiz 9: Budgeting process

1. Assess past performance
2. Prepare initial budget estimates
- ...

Quiz 10 when analysing a make-or-buy decision, costs that will be incurred regardless of the decision: Are unavoidable and therefore should be ignored.

Quiz 11 Triple bottom line ESE  
economic / environmental  
social

triple bottom line is in line with Stakeholder theory ✓✓  
~~shareholder value~~



Date: . . .

Page: